

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

**2026CUBT064485: MICHAEL E. REZNICK vs META PLATFORMS, INC., A
DELAWARE CORPORATION, et al.
09/18/2026 in Department 41
Demurrer**

Below is the Court's tentative decision with respect to the matter on calendar. The Court may adopt, modify, or change the tentative ruling after hearing. The tentative ruling has no legal effect unless and until adopted by the Court.

If you wish to submit on the Court's tentative decision without appearing, please send an email to the following address by 8:00 a.m. on the date of the hearing with counsel for all parties copied on your email: courtroom41@ventura.courts.ca.gov. Please state on the subject line of your email: "SUBMISSION ON TENTATIVE", Case Number, Title and Party. If fewer than all parties submit on the tentative, the hearing will proceed, and the tentative decision is subject to change.

Unless stated otherwise at the hearing, if a formal order is required but not signed at the hearing, the prevailing party shall prepare a proposed order and comply with CRC 3.1312 subdivisions (a), (b), (d) and (e). The signed order shall be served on all parties and a proof of service filed with the Court. A "notice of ruling" in lieu of this procedure is not authorized.

The Court intends to rule as follows:

JP Morgan Chase Bank NA's Demurrer (the "Demurrer") is:

1. SUSTAINED WITHOUT LEAVE TO AMEND as to the negligence (first) and conversion (third) causes of action based on the economic loss rule. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20-21 ["[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed."]; see also *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988-990 [holding that tort damages are allowed in contract cases, including "where a breach of duty directly causes physical injury (citation); for breach of the covenant of good faith and fair dealing in insurance contracts (citation); or where the contract was fraudulently induced (citation) . . . With respect to situations outside of those set forth above . . . a tortious breach of contract . . . may be found when (1) the breach is accompanied by a traditional common law tort, such as fraud or conversion; (2) one party intentionally breaches the contract intending or knowing that such a breach will cause severe, unmitigable harm in the form of mental anguish, personal hardship, or substantial consequential damages. Focusing on intentional conduct gives substance to the proposition that a breach of

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contract is tortious only when some independent duty arising from tort law is violated . . .”). In the Opposition, Plaintiff asserts that the Complaint “implicate[s] well-established duties recognized under California negligence law and the Financial Elder Abuse Act and therefore [is] not barred by the economic loss rule.” (Pl.’s Opp’n 10-11.) However, Plaintiff neither cites any authority for this proposition nor explains why the “duties” he is referring to (whatever they might be) are independent of the parties’ deposit relationship. Plainly they are not. Plaintiff alleges that Chase debited his account for transactions that he allegedly did not authorize. Any claims Plaintiff has would therefore arise directly from the parties’ deposit agreement. Plaintiff does not allege any duties independent of the deposit agreement or any injury beyond the loss of funds in his account. As such, Plaintiff’s tort claims are barred by the economic loss rule as a matter of law.

2. SUSTAINED WITHOUT LEAVE TO AMEND as to the third cause of action (conversion) on the additional ground that the claim is barred as a matter of law. Conversion is “the wrongful exercise of dominion over the property of another.” (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.) To state a claim, a plaintiff must plead and establish: (1) ownership or the right to possess the property at the time of the alleged conversion; (2) wrongful disposition of that property by the defendant; (3) damages; and (4) lack of consent to the defendant’s exercise of dominion. (*Ibid.*) Cases permitting an action for conversion of money typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others. (*PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 396.) As a matter of law, however, title to deposited funds passes immediately to the bank which may use the funds for its own business purposes. (*Morse v. Crocker National Bank* (1983) 142 Cal.App.3d 228, 232.) Once deposited, the depositor has a contractual right to demand repayment, but not a possessory interest in specific funds. (*Ibid.*; see also *Miller v. Bank of America, N.A.*, 2022 WL 3704093, at *4 (E.D. Cal. Aug. 26, 2022) and *Smith v. Wells Fargo Bank, N.A.*, 809 F. Supp. 3d 922, 942 (N.D. Cal. 2025).¹) Therefore, Plaintiff cannot establish that he owned the funds or had a right to immediate possession of the funds.

3. OVERRULED as to the breach of contract (second) cause of action. (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.) Plaintiff has sufficiently pled the existence of a contract, his performance, defendant’s breach of certain terms and his damage. (Complaint, ¶¶ 72, 73, 74, 76, 78).

4. SUSTAINED WITH LEAVE TO AMEND as to the Elder Abuse (fourth) cause of action. Plaintiff alleges that third parties took the funds from his account. He has not alleged that Chase took the funds or assisted with the taking of the funds. (Cal. Welf. & Inst. Code § 15610.30(a).) Under the plain text of Section 15610.30(b), a “knew or should have known” standard applies only for “tak[ing], secret[ing], appropriat[ing], obtain[ing], or retain[ing]” property in a claim for direct liability under subdivisions (a)(1) and (3). By contrast, liability for “assisting” such a taking under subdivision (a)(2) may be imposed only if the defendant had actual knowledge of the underlying scheme. (*Das v. Bank of America, N.A.* (2010) 186 Cal.App.4th 727, 745 [affirming dismissal of claim for elder financial abuse arising from fraudulently induced wire transfers, holding that liability for “assisting” financial elder abuse requires actual knowledge].) Here, the Complaint appears to contradictorily plead that Chase

¹ Cited for persuasive authority only.

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allowed the debits to unauthorized third parties and that Chase itself took, secreted, appropriated, obtained, or retained the funds. (Complaint ¶¶ 29, 30, 31, 32, 33, 37, 61, 88.) To the extent that Plaintiff intends to plead that Chase assisted third parties' receipt of the funds by processing, honoring, transferring, posting, or paying the funds to the third parties, the Complaint fails to clearly allege actual knowledge.

5. SUSTAINED WITH LEAVE TO AMEND as to the Business and Professions section 17200 (fifth) cause of action. Breach of contract – the only cause of action surviving the demurrer to this point – does not serve as the predicate wrong for this claim, unless the act is independently unfair, unlawful or fraudulent. (*Puentes v. Wells Fargo Home Mortgage, Inc.* (2008) 160 Cal.App.4th 638, 645.)

6. SUSTAINED WITH LEAVE TO AMEND as to fraud by concealment (seventh) cause of action. “The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal.5th 1, 40.) “A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (*Ibid.*) Fraud must be pleaded with particularity. (*Lazar v. Superior Ct.* (1996) 12 Cal.4th 631, 645.) Here, Plaintiff has not alleged that Chase defrauded him with particularity.

7. SUSTAINED WITH LEAVE TO AMEND as to the declaratory relief (eighth) cause of action. The requested relief is duplicative of the breach of contract cause of action. (*Fox Paine & Co., LLC v. Twin City Fire Ins. Co.* (2024) 104 Cal.App.5th 1034, 1052-1053.)